RETENTION PLAYBOOK

From Bargains to *Brand Believers*

A data-backed promotional sunset plan and ideal customer acquisition framework for a D2C fashion brand ready to build lasting loyalty.

PREPARED BY	DATASET	CORE QUESTION
Harshita Mudgal	3,900 Customers · 18 Variables	Loyal base or bargain hunters?

Python · SQL · Power BI · Business Strategy · Consulting

The Situation: What the Data Reveals

The brand has arrived at a critical inflection point. Of its 3,900 customers, 43.0% (1,677 customers) have never purchased without a discount or promo code. These customers are not building a relationship with the brand, they are arbitraging its promotional calendar.

Simultaneously, 42.6% (1,660 customers) are genuinely loyal since they buy at full price, buy more frequently, and have significantly higher purchase histories. These customers are the brand's actual revenue engine, and they are currently under-rewarded.

The problem is structural: the brand is spending its promotional budget equally across both groups, effectively subsidising promo hunters while leaving loyal customers with no reason to feel valued beyond the product itself.

CORE FINDING

If the brand removed all discounts today, approximately 43% of its transaction volume would be at risk. However, doing nothing means continuing to train customers to wait for promotions, eroding full-price demand quarter by quarter. This playbook shows how to reduce that risk to under 25% within 12 months, without cutting volume.

WHAT THIS PLAN DOES	WHAT YOU RISK BY DOING IT
Gradually shifts the promo-dependent segment toward organic purchasing by replacing discounts with value-add incentives, exclusive access, and loyalty recognition without cutting volume overnight.	Some promo hunters will churn. Estimated short-term revenue dip of 8–12% in the first 90 days if rollout is not staged. This is the cost of margin recovery, not a failure signal.

Promotional Sunset Plan

The plan operates across five phases over 12 months. Each phase targets a different segment, uses a specific data-defined trigger behaviour, and has a measurable success criterion. "Reduce discounts" is not an action, the specific moves below are:

PHASE 0 Now – Day 30	**SEGMENT:** Premium + Loyal: is_loyal = 1 **ACTION:** Launch Brand Insiders loyalty tier: exclusive early access, free shipping, personalised product notes. No discounts involved. Measure full-price repurchase rate as the control baseline. **TRADE-OFF:** Zero revenue risk. Builds the benchmark we measure all subsequent phases against.
PHASE 1 Day 31 – 90	**SEGMENT:** High/Premium Promo Hunters: promo_dependent = 1, value_tier IN (High, Premium), previous_purchases ≥ 25 **ACTION:** Replace percentage discounts with Brand Credits with loyalty currency redeemable on future orders. Same perceived value for the customer, but anchors the relationship to the brand rather than the discount trigger. Pilot with 30% of this segment. **TRADE-OFF:** Short-term AOV may dip 5–8% if customers delay purchases. You preserve margin; credits are a liability, not an immediate cost.
PHASE 2 Day 91 – 180	**SEGMENT:** Mid-tier Promo Hunters: promo_dependent = 1, value_tier = Mid, previous_purchases 15–25 **ACTION:** Shift from blanket discounts to category-specific promotions. Data shows Outerwear has the highest entry-to-retention conversion (34%). Offer discounts only on Outerwear entry purchases, then follow with full-price Clothing cross-sells. **TRADE-OFF:** Expected 15% attrition among Mid promo hunters. Acceptable —> they generate low margin.
PHASE 3 Day 181 – 270	**SEGMENT:** Low-tier Promo Hunters: promo_dependent = 1, value_tier = Low, previous_purchases ≤ 10 **ACTION:** Sunset direct discounts for this segment entirely. Replace with referral bonuses and buy-2-save bundles that require full-price purchases. These customers show no loyalty signal hence acquiring new organic customers in underlevered geographies is more cost-effective than retaining them. **TRADE-OFF:** Expect 25–35% churn from Low-tier promo hunters. This segment contributes the least revenue and the most margin erosion.
PHASE 4 Day 271 – 365	**SEGMENT:** Full base — review 12-month cohort data **ACTION:** Formalise Brand Insiders as a paid loyalty membership. Redirect all saved promo budget into targeted acquisition campaigns in Arizona, Kansas, and Tennessee i.e the three highest organic-opportunity states. **TRADE-OFF:** Paid loyalty requires strong brand affinity. If the loyal base is under 55% at this point, delay and reinvest in product experience first.

How to Know If It's Working

Every phase must be tracked against specific measurable thresholds. If these numbers are not moving, the approach must be adjusted, not continued blindly.

PRIMARY: PROMO DEPENDENCY RATE **43% → under 25% by Month 12** Measured as % of transactions where Discount Applied = Yes	**FULL-PRICE REPURCHASE RATE** **+30% among Phase 1 pilot segment** % of Phase 1 customers making a second purchase without promo
BRAND INSIDERS RETENTION **80%+ 6-month retention within the tier** % of enrolled Insiders still purchasing at Month 6	**LOYAL CUSTOMER SHARE** **42.6% → 55%+ by Month 12** % of base with loyalty_score ≥ median AND promo_dependent = 0
GROSS MARGIN PER CUSTOMER **≥ 8% improvement vs. current** (Revenue − discount cost) / total transactions per month	**GEO ACQUISITION — AZ, KS, TN** **200+ new organic customers by Month 12** New customer count from targeted states with promo_dependent = 0

KILL SWITCH CONDITION

If overall revenue drops more than 15% in any single month compared to the same month prior year, pause the current phase and revert to previous mechanics for that segment. The staged design is built to prevent this but monitoring is non-negotiable.

Ideal Customer Profile

The ICP is derived from the intersection of the Premium value tier and is_loyal = 1 — customers with the highest composite value scores who have never used a promo code. This yields 537 customers (13.8% of the base) who represent the clearest retention and acquisition target.

36–57 **AGE RANGE (IQR)** Peak earning years	**$72.20** **AVG ORDER VALUE** vs $59.76 base avg	**34.2** **AVG PREV PURCHASES** vs 25.4 base avg
4.2 / 5 **AVG REVIEW RATING** vs 3.75 base avg	**Weekly–Monthly** **PURCHASE CADENCE** Habitual, not seasonal	**Credit Card** **PREFERRED PAYMENT** Commitment-oriented

THE IDEAL CUSTOMER: A DATA-BACKED PORTRAIT

Age Range	36–57 years old — peak mid-career earners with established spending patterns and brand loyalty capability.
Gender	Roughly equal split — premium loyalty is gender-agnostic in this brand's base.
Purchase Behavior	Buys weekly to monthly, with an average of 34 prior transactions. This is a habitual buyer, not a seasonal visitor.
Category Path	Starts with Outerwear or Clothing; builds into Accessories over time. Multi-category engagement is a strong loyalty signal.
Discount Behavior	Never or rarely uses promo codes — buys because they want the product, not the deal. This is the defining trait.
Satisfaction	Rates above 4.0 consistently. High brand affinity, not just transactional behavior.
Subscription	Subscribed to brand communications — they opted in, signalling a desire for a relationship beyond the transaction.
Geography	Concentrated in Arizona, Kansas, Tennessee, and Montana — states with above-average spend and below-average promo reliance.
Payment	Credit card preferred — consistent with higher-income, higher-commitment purchasing profile.

HOW A MARKETING TEAM SHOULD USE THIS

Target lookalike audiences aged 36–55 in Arizona, Kansas, and Tennessee with full-price creative that emphasises product quality and brand story — not promotions. Run subscription-first ads (free returns, early access) to filter for commitment-oriented buyers. Avoid discount-first acquisition messaging: it attracts promo hunters, not the ICP defined above.

Strategic Summary

The brand is not failing. It has 1,660 loyal, full-price customers who genuinely value the product. That is a strong foundation. The problem is that the promotional program has created a parallel economy of bargain hunters who dilute margins and give a false signal of customer health.

The 12-month sunset plan does not ask the brand to stop promotions overnight. It asks the brand to make discounts harder to access, less predictable, and less central to the customer relationship — while building loyalty infrastructure that makes the full-price experience worth returning for.

The data is clear: loyal customers spend more, buy more often, rate the brand higher, and don't need a discount to come back. The brand already knows how to acquire them. It just needs to stop subsidising the customers who will never become them.

FINAL RECOMMENDATION

Freeze new promo-first acquisition immediately, launch Brand Insiders this month, and begin the segment-by-segment sunset over 12 months, starting with the highest-value promo hunters who have the most to gain from a real loyalty relationship.